# A spreadsheet divided by a sum instead of an average.

> The trade it was watching lost $6.2 billion.

# The London Whale: a huge credit-derivatives bet in JPMorgan's Chief Investment Office.

# A new risk model reported less risk than the old one.

OLD MODEL

**Higher VaR**

NEW MODEL

**Lower VaR**

# Hand-filled Excel sheets, copied and pasted from one to the next.

> JPMorgan task force report, January 2013

# The formula:

# ~~“divided by their sum instead of their average”~~

# Likely muted volatility by a factor of two.

> And lowered the reported risk.

# What it ended up costing:

| | |
|---|---|
| **2012** | $6.2B |
| **Sept 2013** | ~$920M |

# Nobody hid the formula. Nobody checked it.

# For any model or AI output that moves money:

1. One independent check
2. One sanity test by hand
3. One named owner